the suspicion many had about PNs – that they were mostly a conduit for round-tripping and money laundering.

The SEBI order indicting UBS highlighted the misuse of PNs but could not prove that UBS had deliberately sold shares in the cash market to profit from its derivatives trades. And the punishment for UBS? A one-year ban on issuing PNs for a year. UBS promptly appealed against the order to the Securities Appellate Tribunal, and in less than two months, won the appeal.

SEBI moved the Supreme Court, but in January 2009 the matter was settled through a consent order. UBS paid a penalty of Rs 50 lakh to SEBI without admitting or denying the charges against it.

The UPA government's maiden Budget had a pleasant surprise for stock market investors. The 10 per cent long-term capital gains tax was abolished and the tax on short-term capital gains was reduced to 10 per cent from the income tax rate applicable earlier. For those in the 33 per cent income tax bracket, the short-term capital gains tax had more than halved. And investors did not have to pay tax on any shares held for more than a year.

'All in the name of encouraging retail investors,' GB smirked, when he heard the announcement. 'Actually it is the promoters who will benefit the most since they are the ones who trade more often.'

To make up for the revenues lost by way of the new capital gains tax rates, Chidambaram introduced a 0.15 per cent Securities Transaction Tax (STT) on all stock market trades. A key reason for its imposition was the notoriety of stock market players for evading capital gains tax by showing fictitious losses. Also, since this tax was to be collected by the stock exchanges at the time of the trade, players would not be able to escape it. For the government, STT was both an efficient as well as low-cost source of tax.

But the STT sparked a furore among day traders who played for spreads as low as 5 to 10 paise. Unlike capital gains tax, STT had to be paid whether or not the trader made profits from his trades. Capital market players, with support from the stock exchanges, made presentations to the finance ministry, arguing that trading volumes would dry up if day traders stayed away because of STT. Day traders – also known as jobbers or arbitrageurs – were an important source of stock market liquidity. An